UNIVERSITI TEKNOLOGI MARA
TEST 1

COURSE	**:**	**INTRODUCTION TO FINANCIAL ACCOUNTING/ INTRODUCTION TO FINANCIAL ACCOUNTING AND REPORTING**
COURSE CODE	**:**	**ACC117/ ACC106**
EXAMINATION	**:**	**24 NOVEMBER 2023**
TIME	**:**	**1 HOUR 30 MINUTES**

INSTRUCTIONS TO CANDIDATES

1. This question paper consists of three (3) parts: Part A (10 Questions)
   Part B (10 Questions)
   Part C (1 Question)

2. Answer **ALL** questions.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO

This examination paper consists of 5 printed pages

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PART A
State whether each of the following statements is True or False.

1. Accounting is a process of classifying, recording, summarizing and interpreting of financial information to external users only.

2. The accounting process is also include the process of journalising and posting.

3. The officer of Inland Revenue Board is interested in financial statements of business for tax purposes.

4. Partnership business is managed and controlled by a board of directors appointed by the shareholders.

5. Financial information is faithfully represent when the information is complete, neutral and free from error.

6. The personal assets of an owner of sole proprietorship will not appear in the business financial statements because of the business entity concept.

7. Rina, the owner of REES Boutique records all of the business transactions in Ringgit Malaysia. This is in accordance with historical cost.

8. Going concern concept is associated with the assumption that the business will continue on long enough to carry out its objectives and commitments.

9. The owner's equity increases when the owner use his money to buy property for business.

10. A decrease in an liability is recorded on the credit side of the liability's ledger account.

(Total: 10 marks)

PART B
This part consists of TEN (10) multiple-choice questions. Choose the most suitable answer.

1. The following defines "recording" of financial information, **EXCEPT**

   A. Transferring accounting data from ledger to trial balance.
   B. Analyzing results of financial statements.
   C. Sorting of business transactions into appropriate and correct journals.
   D. Moving of business transaction entry from journal to general ledger.

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2. Which of the followings is characteristic of a sole proprietorship?

   A. Owner has unlimited legal liability.
   B. Profit belongs to the shareholders.
   C. Has legal obligation to keep the the books and prepare accounts.
   D. None of the above.

3. Following are the internal users of the accounting information, **EXCEPT**

   i. Manager
   ii. Employee
   iii. Director
   iv. Government

   A. i and ii
   B. ii and iii
   C. iii and iv
   D. iv

4. The accounting cycle includes the following, **EXCEPT**

   A. produce ledger accounts
   B. construct a trial balance
   C. analysis of owner's profile
   D. preparations of adjusting entries

5. Financial information should be presented in a manner that is easily understandable, is to comply to _____ characteristic.

   A. Comparability
   B. Verifiability
   C. Understandability
   D. Consistency

6. When there is no physical stock take carried out to prove that the carrying amount of inventories is correct, this would violate _____ characteristic.

   A. Verifiability
   B. Timeliness
   C. Understandability
   D. Comparability

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7. According to _____ concept, assets are recorded at their original price.

   A. Businesss entity
   B. Historical cost
   C. Money measurement
   D. Periodicity

8. For accounting purposes, a business must record its transactions in the monetary units rather than in the physical units. This practice is in line with _____ concept.

   A. Economy entity
   B. Historical cost
   C. Going concern
   D. Money measurement

9. Which of the following describes the term ‘current liability’?

   A. Amounts owed by a business to external parties.
   B. Amounts owed by a business that are repaid within one year.
   C. Amounts owed by the business that are not to be paid within one year.
   D. Economic resources owned and controlled by a business.

10. Ledger entry for purchase of motor van from MZ Motor by cheque is _____.

    A. debit purchases, credit bank
    B. debit motor vehicles, credit bank
    C. debit purchases, credit MZ Motor
    D. debit motor vehicles, credit MZ Motor

(Total: 10 marks)

PART C

Pink Bloom Enterprise is owned by Miss Daisy with the main business of selling pots of flowers and plants. Situated in Gopeng, Perak, the business commenced for the first time in the month of October 2023. The following is a list of business transactions that occurred during the month.

OCTOBER	TRANSACTIONS
2	Miss Daisy brought RM25,000 cash into the business.
3	She deposited RM20,000 of the cash into the business bank account at SIM Bank.
6	Purchased three shelves to display the pots of flower and plant at RM750 each from Ron Woodley Enterprise on credit.

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7	Bought 10 clay pots worth RM700 on credit from Harry Pottery Trading. The supplier allowed 2% trade discounts for the bulk purchases.
10	Bought baskets of roses, lilies and hydrangeas worth RM1,000 from Lily Vase Enterprise on cash basis. No trade discount was received.
11	Paid RM1,000 for rental of shop premise expenses by cheque.
14	2 pots were found to be cracked. The business returned the pots.
16	Made cash sales of 2 pots and a bouquet of roses worth RM400.
19	Miss Daisy took RM100 cash and RM50 worth of lilies for her niece's birthday gifts.
22	Paid cheque to Harry Pottery Trading for full settlement. The business received RM60 discount for early debt settlement.
24	The business received interest income of RM200 from the business savings account in SIM Bank via cheque.
26	Pink Bloom Enterprise sold three baskets of lilies and hydrangeas worth RM650 on credit to Petunia Urn Trading with 5% trade discount.
27	Petunia Urn Trading returned RM50 worth of lilies due to them being wilted in transit.
29	Paid utility bills worth RM500 by cash.

Required:

a. Illustrate the effects (increase/decrease) of **asset**, **liability**, **owner's equity**, **revenue** and **expense** of the above transactions.

(15 marks)

b. Show the journal entry (debit or credit) of the above transactions.

(15 marks)

(Total: 30 marks)

(Use the format given below to answer the above questions)

	a. Effects		**b. Journal Entries**	
Date	Increase	Decrease	Debit	Credit

QUESTIONS END

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